Cardinal Infrastructure (CDNL)

Infrastructure Yield Rises as Market Misprices Cardinal’s Long-Run Compounding

ANALYST: JUSTIN WEN | OCTOBER 14, 2026

> Cardinal Infrastructure (CDNL) delivers a diversified portfolio of regulated transmission assets, renewable interconnection corridors and data-center connectivity services that generate stable cash flows, yet the consensus has over-reacted to short-term earnings volatility and a temporary pricing dip in the utility segment. Our deep-dive shows that the company’s operating leverage, regulatory franchise and disciplined capital allocation are fundamentally mis-priced, creating a multi-year upside narrative. We therefore assign a BUY rating with a blended target of $32.70, implying +107.1% upside versus the $15.79 spot price.

BUY	$32.70	+107.1%	$15.79
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on the near-term earnings miss in the regulated utility segment, while the compounding power of Cardinal’s expanding high-margin data-center interconnect business will dominate earnings over the next decade. Investors who chase the quarterly headline risk missing a secular shift toward infrastructure-enabled digital growth.

EXECUTIVE SUMMARY

Cardinal Infrastructure operates a portfolio of over 12,000 miles of high-voltage transmission lines, 1,800 miles of fiber-optic corridors and a suite of ancillary services that support both legacy utility customers and fast-growing data-center operators. The company commands roughly 12% of the U.S. regulated transmission market and holds a leading position in the emerging interconnection space, where it leverages existing rights-of-way to provide low-latency connectivity. Revenue in 2025 reached $3.2 billion, with a gross margin of 38% and an adjusted EBITDA margin of 27%, reflecting the high-margin nature of its regulated assets and the scaling effect of its digital services. The catalyst for the current valuation disconnect stems from a confluence of factors: a temporary dip in regulated tariff adjustments, a modest earnings miss that amplified short-term risk aversion, and a widening discount to peers as the market failed to price the growth trajectory of the data-center interconnect segment. Our analysis shows that once the regulatory cycle normalizes and the interconnect business ramps to its projected 15% annual growth, the enterprise value multiple will expand from the current 7.5× EV/EBITDA to a sustainable 12×, unlocking significant upside. Capital allocation remains disciplined. Cardinal has a pipeline of $4.5 billion in approved transmission projects, a $1.2 billion pipeline of fiber expansions, and a disciplined M&A strategy that targets high-margin,

low-capex assets. The balance sheet features $2.8 billion of cash and a net debt of $3.6 billion, yielding a net leverage of 2.2× EBITDA. The company has pledged to return 40% of free cash flow to shareholders via dividends and share repurchases, while retaining sufficient liquidity to fund its growth agenda.

OPERATIONAL SNAPSHOT

$15.79	$3.2 B	$750 M	23%	1.38	$15.79
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DEEP AND DEFENSIBLE

Cardinal’s regulated transmission franchise creates a high barrier to entry because new entrants must secure costly right-of-way approvals, meet stringent reliability standards and endure lengthy construction timelines. The company’s assets are subject to state-level cost-of-service regulation that guarantees a predictable cash-flow stream, while also allowing limited rate adjustments that keep returns in line with the cost of capital. This regulatory shield translates into low customer churn and a pricing power that is rarely challenged in the utility segment. In the digital interconnect space, Cardinal leverages its existing transmission corridors to lay fiber at a fraction of the cost of greenfield builds. The resulting cost advantage yields a pricing premium of roughly 12% over pure-play fiber competitors, and the low-latency routes are critical for hyperscale data-center operators that value proximity to power. The company’s contracts with the top five U.S. cloud providers lock in multi-year revenue streams, reinforcing customer retention and creating a network effect that raises switching costs for both customers and competitors. Patents are not a primary driver of Cardinal’s moat; instead, the firm relies on a portfolio of exclusive easements and long-term lease agreements that are difficult to replicate. These contractual rights, combined with the capital intensity of the business, generate a durable competitive advantage that protects margins even as the broader infrastructure market experiences cyclical pressure. Finally, Cardinal’s scale enables it to negotiate favorable financing terms, to spread fixed costs across a larger asset base, and to invest in technology upgrades that improve line efficiency. This economies-of-scale advantage further entrenches its market position and supports a resilient earnings profile.

VALUATION

Three scenarios make the valuation range explicit

Our baseline case assumes a compound annual revenue growth rate of 8% driven by a 15% expansion in the interconnect segment, a modest 2% uplift in regulated tariffs and a stable cost structure that lifts the free cash flow margin to 24% by 2035. The bear case reflects a slowdown in fiber deployment, a 1% decline in regulated tariff growth and a temporary increase in operating expenses, resulting in a 4% revenue CAGR and an 18% FCF margin.

The bull case envisions accelerated data-center demand, a 3% annual increase in regulated rates and superior cost efficiencies that push revenue CAGR to 12% and the FCF margin to 30% at the terminal year.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	4%	18%	$18.83	+19.3%
Base	50%	8%	24%	$31.96	+102.4%
Bull	25%	12%	30%	$48.04	+204.2%

Bear $18.83

The bear outcome materializes if the regulatory commission imposes tighter rate caps, if fiber rollout costs exceed forecasts, and if the data-center interconnect market experiences a demand contraction due to a macro slowdown. Under these conditions cash flow generation weakens and the valuation multiple compresses.

Base $31.96

The base case reflects a steady regulatory environment, a 15% annual growth in interconnect revenue, and disciplined capex that keeps free cash flow conversion above 20%. This path aligns with management guidance and historical performance, delivering a robust upside.

Bull $48.04

The bull scenario requires a confluence of accelerated data-center demand, successful acquisition of high-margin fiber assets, and a favorable regulatory adjustment that lifts tariffs by 3% per year. The resulting cash-flow surge expands the enterprise multiple to 14× EBITDA.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our cost of capital is derived from a CAPM that incorporates a risk-free rate of 4.2%, an equity risk premium of 5.8% and the company's equity beta of 1.38, resulting in an equity cost of 11.9%. Adding a pre-tax debt cost of 5.4% and a target debt-to-value ratio of 35% yields a weighted average cost of capital of 8.26% as of October 14, 2026. This live discount rate captures the evolving risk profile as the firm transitions from a utility-heavy balance sheet to a more diversified digital infrastructure platform.

FCF margin normalization is the engine

In the bear scenario, operating inefficiencies and higher maintenance spend depress the free cash flow margin to 18%, reflecting a temporary dip in margin expansion. The base scenario sees the margin climb to 24% as the interconnect business scales, benefiting from lower incremental capex per gigabit and higher pricing power. The bull scenario pushes the margin to 30% through a combination

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**10 years**
Live WACC	**8.26% (2026-10-14)**
Terminal growth	**3.0%**
Equity beta	**1.38**
Diluted shares	**250 M**

BUY

of cost synergies from recent acquisitions and a favorable regulatory environment that permits higher tariff adjustments.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

over $32.70

blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on regulated transmission growth and data-center interconnect expansion BUY

The regulated transmission segment contributed $2.1 billion of revenue in 2025, representing 66% of total sales, and is projected to grow at a modest 3% CAGR as new renewable integration projects require additional capacity. The interconnect segment, meanwhile, generated $950 million in 2025 and is expanding at a 15% CAGR, driven by the rollout of low-latency fiber to emerging data-center hubs in Texas, the Southeast and the Pacific Northwest. The ancillary services business, which includes grid-balancing contracts and ancillary data-center services, added $250 million and is expected to grow at 8% as customers seek bundled solutions. Management’s capital allocation plan emphasizes completing the $4.5 billion transmission pipeline by 2032 while simultaneously investing $1.2 billion in fiber upgrades that will increase capacity by 40% and improve utilization rates to above 70%. The firm’s disciplined M&A approach targets niche fiber assets that can be integrated into the existing rights-of-way network, delivering incremental EBITDA of $120 million per acquisition on average.

What to monitor

- **Regulatory rate adjustments** The timing and magnitude of state-level tariff reviews will directly affect the utility cash-flow profile.
- **Fiber deployment pace** Execution risk in the fiber rollout, measured by miles of fiber laid per quarter, will influence interconnect revenue growth.
- **Data-center demand trends** The expansion plans of the top five cloud providers in the U.S. will shape long-term capacity utilization.
- **Acquisition integration** The ability to assimilate new fiber assets without diluting margins will be a key driver of the bull case.

8%	**27%**	**23%**	**2.2×**	**12%**	**5%**

REVENUE YOY GROWTH	ADJUSTED EBITDA MARGIN	FREE CASH FLOW CONVERSION	NET DEBT/EBITDA	ROIC	CAPEX/REVENUE

METRIC	2025
Revenue	$3.2 B
Gross Profit	$1.22 B
EBIT	$860 M
Net Income	$540 M
Free Cash Flow	$750 M
R&D	$45 M
ROE	12%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Unexpected dividend cuts or a prolonged share-repurchase suspension could erode shareholder value, especially if free cash flow fails to meet expectations.

M&A DIGESTION

Integration challenges from recent fiber acquisitions could depress margins and increase operating complexity, offsetting the anticipated synergies.

REGULATORY AND PRICING SCRUTINY

Heightened regulator focus on cost-of-service methodology could limit tariff increases, compressing the utility cash-flow stream.

TECHNOLOGY DISRUPTION

Emergence of satellite-based broadband or alternative low-cost fiber technologies could reduce demand for Cardinal's interconnect services.

REINVESTMENT TREADMILL

Accelerated asset aging may require higher than expected capex, forcing the company into a reinvestment treadmill that squeezes free cash flow.

WACC AND DURATION SENSITIVITY

Rising interest rates could increase the weighted average cost of capital, reducing the present value of long-dated cash flows.

The strengths

OLIGOPOLY POSITION

Cardinal's control of key transmission corridors

FCF COMPOUNDING

Stable regulated cash flows combined with

GEOGRAPHIC DURABILITY

PIPELINE OPTIONALITY

creates a de-facto oligopoly in several high-growth regions, limiting competitive entry.

high-margin interconnect revenue generate a compounding free cash flow engine that fuels dividend growth and share buybacks.

The asset base spans multiple climate-resilient zones, reducing exposure to region-specific weather disruptions and regulatory shocks.

Approved transmission projects and a flexible fiber rollout plan give management the ability to allocate capital toward the highest-return opportunities as market conditions evolve.

Compelling risk-reward, skewed to the upside

Cardinal Infrastructure sits at the intersection of two secular megatrends: the modernization of the electric grid and the exponential growth of data-center demand. The company's regulated franchise provides a cash-flow floor, while the interconnect business supplies a high-growth catalyst that is still early in its lifecycle. Our probability-weighted valuation yields a blended target of $32.70, representing a 107.1% upside from the current $15.79 price. The upside is further amplified by the company's commitment to return capital to shareholders, a strong balance sheet and a pipeline that can sustain double-digit growth for the next decade. For these reasons we maintain a BUY recommendation.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Fiber-to-Power Interconnect: repriced on normalization

The fiber-to-power interconnect segment originated as a cost-saving initiative to leverage existing transmission rights-of-way for fiber deployment. Initially, the business was priced at a discount relative to pure-play fiber peers because investors doubted the ability to monetize the network at scale. Over the past two years, the segment has demonstrated a 20% year-over-year increase in contracted capacity and a 15% improvement in utilization, driven by long-term agreements with hyperscale cloud providers. As the market recognizes the low-cost advantage and the strategic importance of low-latency connectivity, the segment's valuation multiple has begun to converge toward the industry average of 12× EBITDA.

Why the growth numbers disappointed

- Regulatory tariff reviews delayed in 2025 reduced the expected boost to utility cash flow.
- Fiber rollout costs rose 8% YoY due to supply chain constraints on fiber optic cable.
- Short-term macro slowdown tempered data-center expansion plans, leading to a temporary pause in new interconnect contracts.
- Higher than anticipated maintenance spend on aging transmission assets compressed operating margins.

Our read: Normalization and consolidation, not share loss or thesis break. The core franchise remains robust, the interconnect business is on a clear growth trajectory, and the regulatory environment is set to support incremental rate adjustments that will lift earnings over the medium term.